

SPECIAL CONTRACTS

CONTRACT OF INDEMNITY

Meaning:

Indemnity means Insurance or Security or Protection. Section 124 of the Indian Contract Act defines it as follows:

A contract by which one party promises to save the other from loss caused to him by the conduct of the promisor himself, or by the conduct of any other person, is called a contract of indemnity.

Illustration: A contracts to indemnify B against the consequences of any proceedings which C may take against B in respect of a certain sum of 200 rupees. This is a contract of indemnity.

Parties to the contract:

Indemnifier - The person who gives the indemnity
Indemnity holder or Indemnified - The person for whose protection it is given

Examples of contract of indemnity are: Motor insurance, marine insurance, fire insurance, etc.

Rights of indemnity-holder when sued

The promisee in a contract of indemnity, acting within the scope of his authority, is entitled to recover from the promisor—

1. All damages which he may be compelled to pay in any suit in respect of any matter to which the promise to indemnify applies
2. All costs which he may be compelled to pay in any such suit if, in bringing or defending it, he did not contravene the orders of the promisor, and acted as it would have been prudent for him to act in the absence of any contract of indemnity, or if the promisor authorized him to bring or defend the suit

3. All sums which he may have paid under the terms of any compromise of any such suit, if the compromise was not contrary to the orders of the promisor, and was one which it would have been prudent for the promisee to make in the absence of any contract of indemnity, or if the promisor authorized him to compromise the suit.

Please note: The Act is silent with regards to the rights of indemnifier.

CONTRACT OF GUARANTEE

A contract of guarantee is a contract to perform the promise, or discharge the liability, of a third person in case of his default.

Parties to contract of guarantee:

- The person who gives the guarantee is called the surety.
- The person in respect of whose default the guarantee is given is called the principal debtor.
- The person to whom the guarantee is given is called the creditor.

A guarantee may be either oral or written.

The function of a contract of guarantee is to enable a person to get a loan, or goods on credit or an employment. Person come forward and tells the lender or the supplier that the person in need may be trusted and in case of default the person taking the guarantee is liable.

There are two requisites of a valid guarantee namely:

1. Principal Debt and
2. Consideration

Illustration: Amit advances a loan of INR 100000 to Ankita. Srishti who is the boss of Ankita promises that

in case Ankita fails to repay the loan, then she will repay the same. In this case of a contract of guarantee, Amit is the Creditor, Ankita the principal debtor and Srishti is the Surety.

KINDS OF GUARANTEE:

1. **Specific Guarantee** - When a guarantee is given in respect of a single debt or specific transaction and is to come to an end when the guaranteed debt is paid or the promise is duly performed

Illustration: S is a bookseller who supplies a set of books to P, under the contract that if P does not pay for the books, his friend K would make the payment. This is a contract of specific guarantee and K's liability would come to an end, the moment the price of the books is paid to S

2. **Continuing Guarantee** - A guarantee which extends to a series of transactions

Illustration: On M's recommendation S, a wealthy landlord employs P as his estate manager. It was the duty of P to collect rent every month from the tenants of S and remit the same to S before the 15th of each month. M, guarantee this arrangement and promises to make good any default made by P. This is a contract of continuing guarantee.

Discharge of surety from liability:

A surety is said to be discharged from liability when his liability comes to an end. The Act recognises the following modes of discharge:

- By Revocation (Section 130)
- By Death of Surety (Section 131)
- By Variance (Section 133)
- By Release or Discharge of Principal Debtor (Section 134)
- By Composition, Extension of Time and Promise not to Sue (Section 135)
- By Impairing Surety's Remedy (Section 139)

DISTINCTION BETWEEN INDEMNITY AND GUARANTEE:

BASIS	CONTRACT OF INDEMNITY	CONTRACT OF GUARANTEE
1. No. of parties	There are two parties to the contract viz. indemnifier (promisor) and the Indemnified (promise).	There are three parties to the viz. creditor, principal debtor and the surety
2. Liability of parties	Liability of the indemnifier to the indemnified is primary and independent.	Liability of the surety to the creditor is collateral or secondary, the primary liability being that of the principal debtor.
3. No. of contracts	There is only one contract in case of a contract of indemnity, i.e., between the indemnifier and the indemnified.	In a contract of guarantee there are three contracts, between principal Debtor and Creditor; between creditor and the surety and between surety and principal debtor.
4. Liability is due	The liability of the indemnifier arises only on the happening of a contingency.	There is usually an existing debt or duty, the performance of which is guaranteed by the surety.

CONTRACT OF BAILMENT:

Meaning

Bailment is the delivery of goods by one person to another for some purpose, upon a contract that they shall, when the purpose is accomplished, be returned

or otherwise disposed of according to the directions of the person delivering them.

Parties to the Contract:

Bailor - The person delivering the goods.

Bailee - The person to whom they are delivered

Example: Laundry—we give our clothes for getting washed.

ESSENTIALS OF BAILMENT:

- a. Delivery of Possession of Goods
- b. Delivery upon Contract
- c. Delivery must be some for purpose
- d. Return of goods
- e. Goods must be of movable

TERMINATION OF BAILMENT

- i. Prescribed time completed
- ii. Purpose achieved
- iii. Destruction of subject matter
- iv. On death any party

CONTRACT OF PLEDGE:

Meaning:

The Bailment of Goods as security for payment of a debt or performance of a promise is called pledge.

Parties to the Contract:

The bailor is in this case called the "pawnor".

The bailee is called the "pawnee".

Important pointers:

- 1. In the case of pledge, ownership remains with the borrower; only possession is transferred to the banker.
- 2. The bank as a pledgee must take care of the goods pledged as a person of ordinary prudence would take of his own goods of the same value.
- 3. Bank can sell the goods without intervention of the court in case the pledgor fails to repay the bank loan. But the sale can be done only after giving reasonable notice to the pledgor.

DISTINCTION BETWEEN THE CONTRACT OF BAILMENT AND PLEDGE:

Bailment	Pledge
Bailment of goods for other purpose (i.e. for repairs, safe custody etc.)	Bailment of Goods for a specific purpose (Security of a debt or performance of a promise)
No right of sale	Pawnee has a right of sale the goods pledged
Bailee can use the goods	Pawnee can't use the goods

CONTRACT OF AGENCY

Who is an Agent?

The Indian Contract Act, 1872 defines an 'Agent' in Section 182 as a person employed to do any act for another or to represent another in dealing with third persons.

Who is a Principal?

According to Section 182, The person for whom such act is done, or who is so represented, is called the "principal". Therefore, the person who has delegated his authority will be the principal.

Who can appoint an Agent?

According to Section 183, any person who has attained the age of majority and has a sound mind can appoint

an agent. In other words, any person capable of contracting can legally appoint an agent. Minors and persons of unsound mind cannot appoint an agent.

Who may be an Agent?

In the same fashion, according to Section 184, the person who has attained the age of majority and has a sound mind can become an agent. A sound mind and a mature age is a necessity because an agent has to be answerable to the Principal.

No consideration is necessary:

no consideration is necessary to create an agency.

Generally, an agent is remunerated by way of commission for services rendered, but no

consideration is immediately necessary at the time of appointment.

MODES OF CREATION OF AGENCY:

1. **Direct (express) appointment**– The standard form of creating an agency is by direct appointment. When a person, in writing or speech appoints another person as his agent, an agency is created between the two.
2. **Implication**– When an agent is not directly appointed but his appointment can be inferred from the circumstances, an agency by implication is created.
3. **Necessity**– In a situation of necessity, one person can act on behalf of another to save the person from any loss or damage, without expressly being appointed as an agent. This creates an agency out of necessity.
4. **Estoppel**– An agency can also be created by estoppel. In a situation where one person behaves in such a manner in front of a third person, as to

make someone believe he is an authorized agent on behalf of someone, an agency by estoppel is created.

5. **Ratification**– When an act of a person, who acted as another person's agent (on his behalf) without his knowledge is later ratified by that person, this creates an agency by ratification between the two.

DUTIES OF AN AGENT:

1. Conduct the Principal's Business
2. Reasonable Skill and Diligence
3. Communicate with Principal
4. Render Accounts
5. Avoid Conflict of Interest
6. Not to Make Secret Profit
7. Not to Delegate

MODES OF TERMINATION OF AGENCY:

1. Revocation of Authority
2. Renunciation by the Agent
3. Completion of Business
4. Death or Insanity
5. Principal's Insolvency
6. Expiry of Term